

Prototype KFS & MITC Guide for Dropline OD RAG Chatbot

Purpose

This document is a customer-facing knowledge base for a prototype Unsecured Dropline Overdraft (OD) application. It follows the general structure and transparency principles commonly used in banking Key Fact Statements (KFS) and Most Important Terms & Conditions (MITC). It is not an official banking document and is intended only for customer education within this prototype.

1. What is a Key Fact Statement (KFS)?

A Key Fact Statement is a concise summary of the important commercial terms of a credit facility. It helps customers understand the product before accepting it. A KFS typically includes the sanctioned amount, interest rate, fees, tenure, repayment information, charges, customer obligations and contact details. Customers should read the KFS before accepting the facility.

2. Why should customers read the KFS?

- Understand the total cost of the facility.
- Know the applicable interest rate.
- Know the one-time and recurring charges.
- Understand the tenure and repayment structure.
- Compare products before accepting.
- Reduce the chance of misunderstandings later.

3. Prototype KFS Contents

Product Name

Unsecured Dropline Overdraft Facility.

Sanctioned Limit

Maximum approved credit limit available under the facility.

Interest Rate

Fixed at 13.9% per annum in this prototype. Interest is charged only on the amount utilised.

Processing Fee

One-time fee of 1.9% of the sanctioned amount.

Tenure

36 months (3 years).

Facility Validity

1 year before renewal review.

Repayment Structure

Reducing Dropline.

Interest Debit

Interest is generally debited periodically according to the product terms.

Sanction Letter

Official confirmation of the approved facility.

Customer Support

Customers should first refer to the chatbot and product documents before seeking further support.

4. Explanation of Common Terms***Sanctioned Limit***

Maximum amount that may be drawn under the facility.

Available Limit

Amount currently available for withdrawal.

Utilised Amount

Amount already drawn by the customer.

Outstanding Balance

Amount currently owed by the customer.

Interest Accrued

Interest accumulated on the utilised amount until the calculation date.

Processing Fee

One-time charge collected for setting up the facility.

Validity

Period for which the approval remains active before renewal review.

Reducing Dropline

Maximum drawable limit gradually decreases according to the agreed schedule.

KFS

Customer-friendly summary of important commercial terms.

MITC

Most Important Terms & Conditions governing the facility.

5. What is MITC?

MITC stands for Most Important Terms & Conditions. It explains the major rights, responsibilities and operating conditions of the facility in simple language. Customers should read it carefully before accepting the facility.

6. Typical Topics Covered in MITC

- Customer responsibilities.
- Interest application.
- Fees and charges.
- Renewal process.
- Document availability.
- Communication through registered contact details.
- Facility closure process.
- General customer obligations.

7. Customer Responsibilities

- Review all documents before acceptance.
- Keep registered contact details updated.
- Protect login credentials and OTPs.
- Monitor the dashboard regularly.
- Download and retain important documents such as the KFS and sanction letter.

8. Frequently Asked Questions

Q: Why do I need the KFS?

A: It provides a clear summary of the key commercial terms before acceptance.

Q: What is the difference between KFS and MITC?

A: KFS summarises the key facts of the product, while MITC explains the important operating terms and customer responsibilities.

Q: Can I ask the chatbot to explain any field?

A: Yes. The chatbot should explain every customer-facing term in simple language.

Q: Does the chatbot know why I received this offer?

A: No. Internal credit assessment and offer generation are outside the chatbot's scope.

Q: Does interest apply to the full sanctioned limit?

A: No. In this prototype, interest applies only to the utilised amount.

9. Questions the Chatbot Should Answer

- What is a KFS?
- What is MITC?
- What is processing fee?
- What does reducing dropline mean?
- What is facility validity?
- What is tenure?

- What is sanctioned limit?
- What is available limit?
- Why should I read the KFS before accepting?

10. Questions the Chatbot Must Not Answer

The chatbot must not disclose or speculate about internal underwriting, credit assessment, credit bureau evaluation, offer generation logic, eligibility algorithms, risk scoring models, or confidential customer information.